

INDIA-UAE CEPA TO CREATE JOBS, BOOST TRADE: 10 POINTS

The Comprehensive Economic Partnership Agreement, signed by India and the United Arab Emirates, will help businesses in both nations and foster closer bilateral ties.

India and UAE held a virtual summit on Feb 18th to further cement bilateral ties and strategic partnership between nations that have worked closely amid the pandemic, helping each other tide through. Prime Minister Narendra Modi and Crown Prince of Abu Dhabi Sheikh Mohamed bin Zayed bin Sultan Al Nahyan witnessed the signing of the Comprehensive Economic Partnership Agreement at the end of a "historic summit" and adopted the Joint India-UAE Vision Statement.

The Comprehensive Economic Partnership Agreement (CEPA) - a comprehensive free trade agreement between the two nations - will come into force this May and will open new doors of export to the UAE, Union Minister Piyush Goyal mentioned. While India will benefit from competitive pricing, new export opportunities, job creation and reduced duties, it will put in place a mechanism to help UAE investors fast track their investments in infrastructure in India, and in the logistics chain.

10-POINT GUIDE TO THE COMPREHENSIVE ECONOMIC PARTNERSHIP AGREEMENT:

1. The agreement will help two-way commerce reach the $100 billion mark and help create jobs in India and in the UAE, Piyush Goyal said. It will give significant benefits to Indian and UAE businesses, which includes enhanced market access and reduced tariffs.

2. The CEPA is expected to increase bilateral trade from the current $60 billion to $100 billion in the next five years.

3. The pact will generate 10 lakh jobs in labour-oriented sectors like textiles, handlooms, gems and jewellery, leather and footwear and provide an impetus to exports to the UAE market from India.

4. The UAE has agreed to eliminate duties on Indian jewellery with India promising duty concessions on gold imports up to 200 tonnes. India will help UAE ensure food security through assured supply from the country.

5. India will advantage from the low-priced raw materials from the UAE that will help support domestic industries.

6. The deal will also help boost the Indian services sector. "*Estimates are that this pact will double bilateral trade in goods, expand our trade in services, and provide over a million job opportunities for our people here,*" **Piyush Goyal** was quoted as saying.

7. The pharma sector will also benefit immensely under the agreement. The UAE has agreed to automatic registration and market authorization for made-in-India medicines in case of their regulatory approval in US, EU, UK and Japan.

8. "*Petroleum products will come in a big way from the UAE. We also expect a number of intermediates to come into India which will support our downstream processing,*" **Piyush Goyal** said.

9. The agreement also has a permanent safeguard mechanism to protect businesses in addition to a 40% value addition rule.

10. UAE Minister of State for Foreign Trade Thani bin Ahmed Al Zeyoudi said that the deal - covers areas including goods, services, rules of origin, customs procedures, government procurement, intellectual property rights, and e-commerce - will add $8.9 billion to his country's GDP in the next eight years and boost exports by 1.5 per cent, reported PTI.